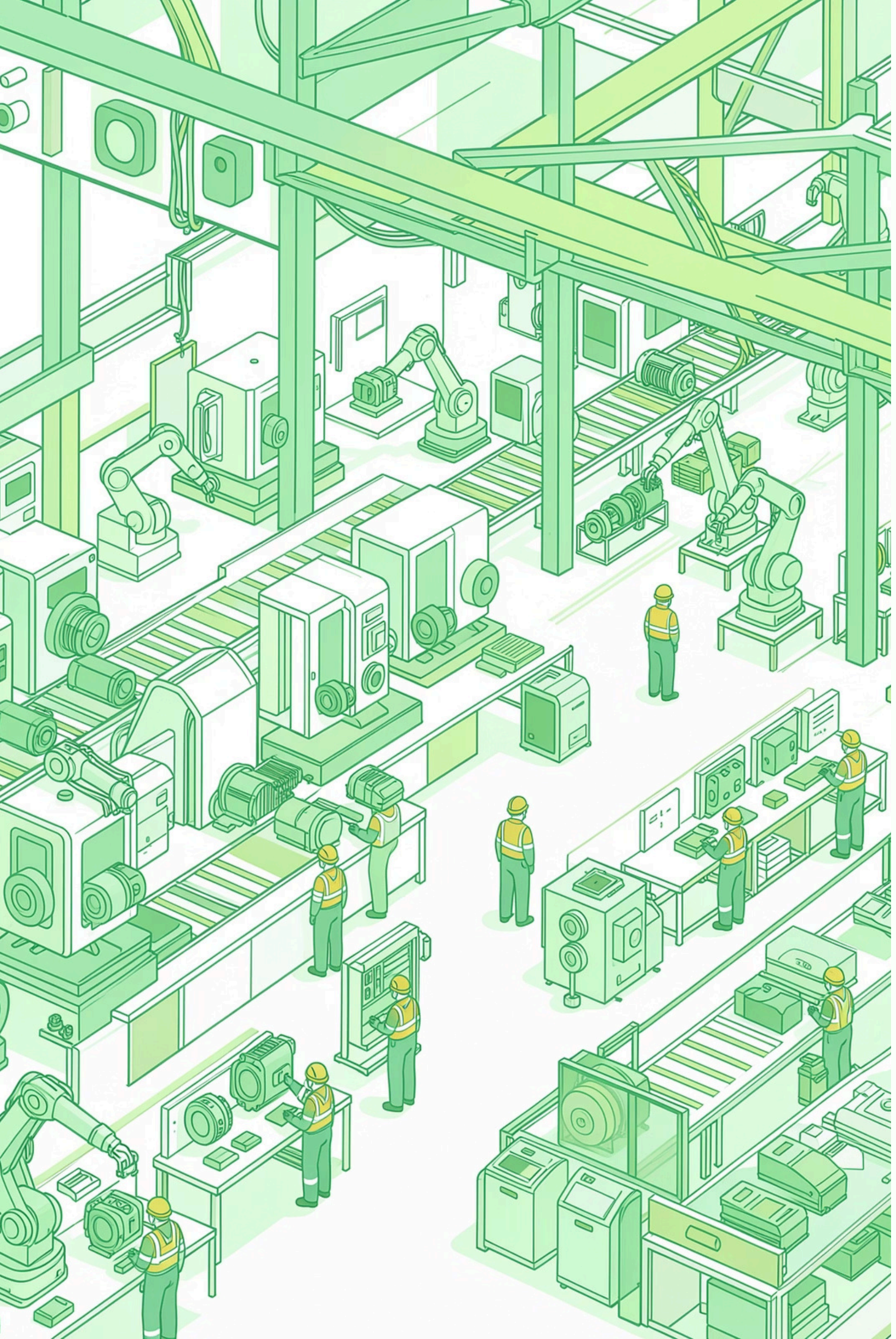


CG Power & Industrial Solutions Ltd

Discounted Cash Flow Valuation – FCFF Method

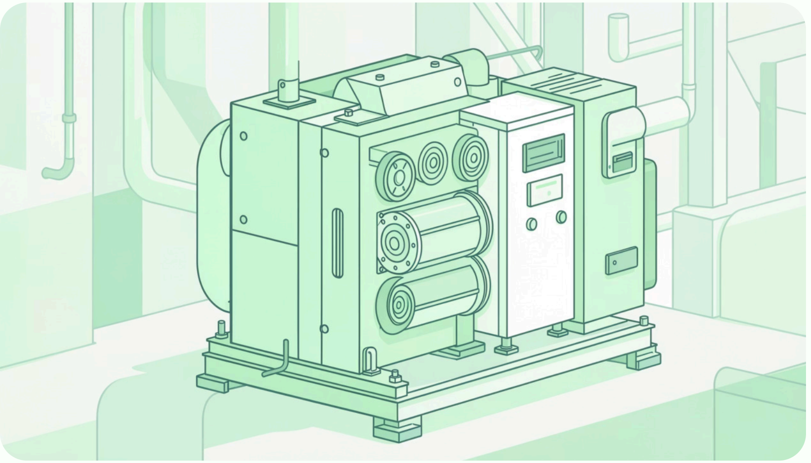
Based on FY2024-25 Consolidated Financial Statements

Source: CG Power Annual Report FY25 | Prepared for Academic Valuation Analysis

Company Overview

Business Profile

CG Power is a leading Indian industrial solutions provider with operations across power generation, transmission, and industrial equipment segments. The company serves diverse industries including power, railways, and manufacturing.



Recent Performance

FY2024-25 demonstrated strong revenue growth of 21.80% year-on-year, driven by increased demand across core business segments and successful execution of strategic projects.

Revenue Growth

21.80% CAGR over 3 years

EBIT Margin

13.67% in FY25

Net Profit

₹972.98 Cr

Valuation Methodology

Why FCFF?

The Free Cash Flow to Firm (FCFF) method was selected because it values the entire business independent of capital structure, making it ideal for companies with evolving debt levels. This approach captures the cash available to all capital providers.

Valuation Framework

01

Revenue Projection

Forecast future sales based on historical trends

02

EBIT Calculation

Derive operating profitability

03

Tax Adjustment

Apply effective tax rate

04

FCFF Derivation

Add back depreciation, subtract capex and working capital changes

05

Discounting

Apply WACC to present value cash flows

06

Terminal Value

Calculate perpetuity value beyond forecast period

07

Equity Value

Subtract net debt to arrive at per-share intrinsic value

Base Financial Inputs

Key financial metrics extracted from FY2024-25 consolidated statements form the foundation of our FCFF calculation.

Revenue from Operations	₹9,910 Cr
EBIT	₹1,355.06 Cr
Effective Tax Rate	25.168%
Depreciation	₹112 Cr
Capital Expenditure	₹568 Cr
Δ Working Capital	- ₹201 Cr
Base FCFF	**₹759.02 Cr**

FCFF Formula: EBIT × (1 - Tax Rate) + Depreciation - Capex - ΔWC

WACC Calculation

Cost of Equity (CAPM)

6%

Risk-Free Rate

10-year Indian government bond yield

0.410

Beta

Company systematic risk coefficient

12%

Market Return

Expected market portfolio return

8.46%

Cost of Equity

$Ke = Rf + \beta(Rm - Rf)$

Cost of Debt

₹117Cr

Total Debt

Consolidated borrowings

₹7.09Cr

Finance Cost

Interest expense FY25

8%

Assumed Kd

After-tax cost of debt

2.95%

Debt Weight

Proportion of capital structure

WACC = 8.39%

Growth Assumptions

Revenue CAGR Analysis

21.80%

3-Year CAGR

Historical performance FY23-25

19.21%

2-Year CAGR

Recent trend analysis

20%

Selected Growth Rate

Conservative projection

5%

Terminal Growth

In line with GDP growth

Gordon Growth Validation: ROE × Retention Ratio = 25.31% × 79.57% = 20.14%, supporting our 20% growth assumption

FCFF Forecast (2026–2031)

Projected free cash flows demonstrate robust growth trajectory under 20% annual growth assumption.

Year	FCF (₹ Cr)	Discount Factor	PV of FCF (₹ Cr)
2026	910.82	0.9226	840.34
2027	1,092.99	0.8512	930.38
2028	1,311.58	0.7854	1,030.07
2029	1,573.90	0.7246	1,140.43
2030	1,888.68	0.6685	1,262.62
2031	2,266.42	0.6168	1,397.91
Total	–	–	**₹6,601.75 Cr**

Terminal Value Calculation

Terminal Value Formula

$$TV = \frac{FCF_{2031} \times (1 + g)}{WACC - g}$$

Where:

- FCF_{2031} = ₹2,266.42 Cr
- g = 5% terminal growth rate
- WACC = 8.39%

₹70,262Cr

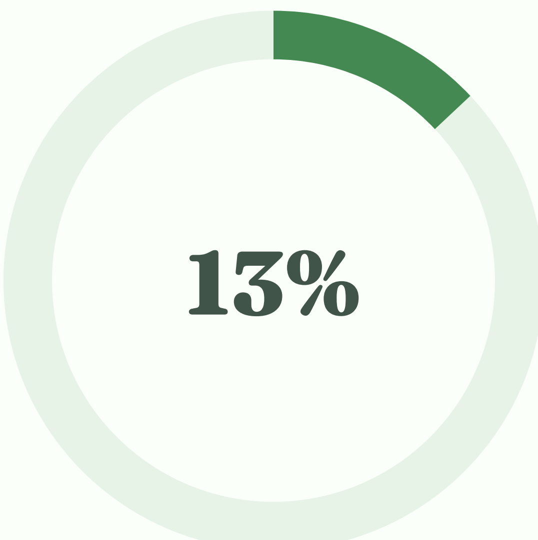
Terminal Value

Year 2031 perpetuity

₹43,337Cr

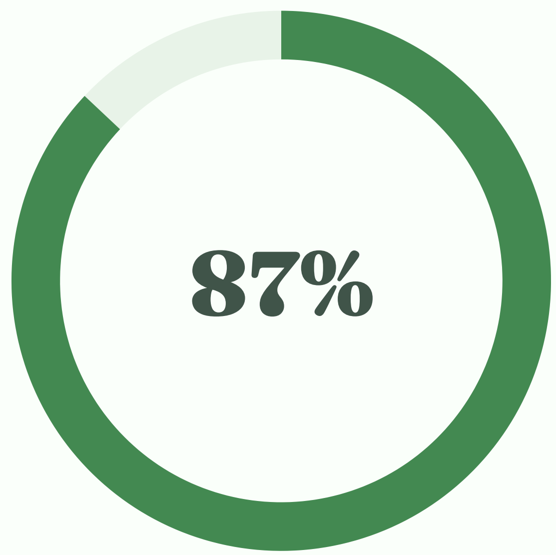
Present Value

Discounted to present



Explicit Forecast

Years 2026-2031



Terminal Value

Long-term cash flows

Enterprise & Equity Valuation

1

Sum of PV of FCFs

₹6,601.75 Cr

2

PV of Terminal Value

₹43,337.13 Cr

3

Enterprise Value

₹49,938.88 Cr

4

Net Debt Adjustment

- ₹1,695.56 Cr (Net cash position)

5

Equity Value

₹48,243.32 Cr

Key Insight: Company is net cash positive, providing downside protection and flexibility for capital allocation

Intrinsic Value & Investment Conclusion

Valuation Summary

152.89Cr

Shares Outstanding

₹315.54

Intrinsic Value

Per share calculation

₹829

Current Market Price

As of latest trading

-162.7%

Margin of Safety

Negative buffer

Investment Implication

At current market levels, CG Power appears significantly overvalued relative to intrinsic value estimated using conservative FCFF assumptions. The negative margin of safety of 162.7% suggests substantial downside risk if growth assumptions fail to materialize.

Key Risks to Consider

- **Growth assumption sensitivity**

  Small changes in growth rate significantly impact terminal value

- **Terminal value dominance**

  87% of valuation from perpetuity estimates creates uncertainty

- **Macro-economic uncertainty**

  Indian economic growth and industrial demand trends

- **Capital allocation risks**

  Efficiency of reinvestment and project execution

⚠ **Final Note:** This valuation represents a single scenario based on FY2024-25 data. Real-world investment decisions should incorporate multiple scenarios, qualitative factors, and updated financial information.